24VECV00629 24VECV00629

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-20

Motion: CROSS-DEFENDANT MENA ADEL METYAS' MOTION FOR JUDGMENT ON THE PLEADINGS AS TO CROSS-COMPLAINANT SERVICE FINANCE COMPANY, LLC'S FIRST AMENDED CROSS-COMPLAINT

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Case Number: 24VECV00629 Hearing Date: July 20, 2026 Dept: U

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR

THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

MARTHA L.

HERNANDEZ, an individual,

Plaintiff,

vs.

MODERNIZE REMODELING, INC., a California

corporation; MENA ADEL METYAS, an individual; and DOES 1-20, inclusive,

Defendants.

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CASE NO: 24VECV00629

[TENTATIVE] ORDER RE: CROSS-DEFENDANT MENA ADEL METYAS' MOTION FOR JUDGMENT ON THE PLEADINGS AS TO CROSS-COMPLAINANT SERVICE FINANCE COMPANY, LLC'S FIRST AMENDED CROSS-COMPLAINT

Dept. U

8:30 a.m.

July 20, 2026

I.
BACKGROUND

On February 13, 2024, Plaintiff Martha Hernandez filed her complaint against Defendants Modernize Remodeling, Inc. ("Modernize") and Mena Adel Metyas ("Metyas"), alleging: (1) financial elder abuse; (2) fraud; (3) breach of contract; and (4) unlawful business practices.

On October 14, 2024, the Court overruled Modernize's demurrer to the complaint and denied Modernize's motion to strike punitive damages.

On December 31, 2024, the Court granted in part and denied in part Plaintiff's motions to compel Metyas' further responses to discovery.

On March 14, 2025, Cross-Complainant Modernize filed its cross-complaint against Cross-Defendant Metyas, seeking/alleging: (1) equitable, partial, or comparative indemnity; (2) declaratory relief; (3) equitable comparative contribution; and (4) apportionment of fault based on comparative negligence and/or comparative fault.

On April 11, 2025, Plaintiff filed her first amended complaint (the "FAC") against Defendants Modernize; Metyas; Goodleap, LLC ("Goodleap"); and Service Finance Company, LLC ("Service Finance"), seeking/alleging: (1) financial elder abuse against Modernize and Metyas; (2) fraud against Modernize and Metyas; (3) breach of contract Modernize, Goodleap, and Service Finance; (4) unlawful business practices against Modernize; (5) rescission against Modernize, Service Finance, and Goodleap; and (6) declaratory relief against Modernize, Service Finance, and Goodleap.

On May 27, 2025, Cross-Complainant Metyas filed his cross-complaint against Cross-Defendants Modernize; Best Solar Power Inc.; Renovateworks Inc.; Ultimate Business Concept, Inc.; Elkana Eric Aharoni; Kasra Baraei; David Lankry; Dragan Turkal; and Kevin Jackson, seeking/alleging: (1) willful misclassification of employee; (2) failure to pay overtime wages; (3) failure to pay earned wages; (4) failure to provide itemized wage statements; (5) failure to timely pay wages at separation; (6) unfair competition; (7) equitable indemnity; (8) contribution; (9) apportionment of fault; and (10) declaratory relief.

On June 4, 2025, Service Finance filed its answer to the FAC.

On July 16, 2025, Cross-Complainant Service Finance filed its original cross-complaint against Cross-Defendants Modernize and Metyas, seeking/alleging: (1) express contractual indemnity; (2) implied indemnity; (3) equitable indemnity and contribution; and (4) breach of contract.

On August 5, 2025, the Court granted

Plaintiff's second motion to compel Metyas' further responses to discovery.

On August 27, 2025, Plaintiff filed her form amendment naming Defendants Dragan Turkalj, Elkana Arik Aharoni, and David Lankry as DOEs #1-3.

On September 30, 2025, Cross-Complainant Service Finance filed its first amended cross-complaint (the "FACC") against Cross-Defendants Modernize and Metyas, seeking/alleging: (1) express contractual indemnity against Modernize; (2) implied indemnity against Modernize and Metyas; (3) equitable indemnity and contribution against Modernize and Metyas; and (4) breach of contract against Modernize.

On October 1, 2025, Modernize, Non-Party Best Solar Power, Inc. ("Best Solar"), and Non-Party Renovateworks Inc. ("Renovateworks") filed their motions to quash Plaintiff's subpoenas for business records to Creative Business & Tax Solutions Inc.

On November 7, 2025, Modernize filed its answer to Service Finance's FACC.

On November 17, 2025, Metyas filed his answer to Service Finance's FACC.

On December 1, 2025, the Court granted Plaintiff's motions to compel Modernize to produce third-party deponents and awarded Plaintiff sanctions against Modernize in the total amount of $3,120.00.

On February 10, 2026, the Court denied Modernize's, Best Solar's, and Renovateworks' motions to quash Plaintiff's subpoenas for business records.

On April 30, 2026, Metyas filed his motion for judgment on the pleadings as to Service Finance's FACC.

On June 24, 2026, the Court granted Modernize's motion to compel Metyas' deposition and awarded Modernize sanctions against Metyas in the total amount of $2,900.00.

On July 7, 2026, Service Finance filed its opposition brief as to Metyas' motion for judgment on the pleadings.

On July 9, 2026, Metyas filed his reply brief.

II.
LEGAL STANDARD

A motion for judgment on the pleadings is the functional equivalent of a demurrer for sufficiency, and the trial court's analysis should be similar.¿ Kapsimallis v. Allstate Ins. Co. (2002) 104 Cal.App.4th 667, 672.¿ "All properly pleaded, material facts are deemed true, but not contentions, deductions, or conclusions of fact or law; judicially noticeable matters may be considered."¿ Ibid.¿ There exist separate statutory and common law authorities for obtaining judgments on the pleadings.¿ In contemporary practice, the procedures are interchangeable.¿ Korchemny v. Piterman (2021) 68 Cal.App.5th 1032, 1055.

III.
DISCUSSION

Metyas moves for judgment on the pleadings as to Service Finance's FACC. For the reasons discussed herein, the motion is denied.

a.
Review of Allegations in Plaintiff's FAC

Plaintiff pleads that she was 66 years old when she met Metyas, Modernize's sales rep, at her home on February 7, 2023. Plaintiff pleads that:

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Metyas had Plaintiff sign a $69,900.00 contract for solar panels, a new roof, HVAC, and an electrical upgrade. At the time, Plaintiff already had a contract with a different company for roofing and solar, financed elsewhere. Metyas offered to help cancel that contract. Modernize then called her existing contractor pretending to be her son, threatened legal action, and sent cancellation texts from Plaintiff's own phone. (FAC, ¶¶ 11-16.)

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Over the next two weeks, Metyas had Plaintiff sign two more addenda: $23,000.00 for plumbing (for a clogged drain) and exterior coating, and another $27,100.00 for painting. These additions pushed the total contract to $120,000.00 for a house under 1,500 square feet. (FAC, ¶¶ 17-19.)

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Metyas reviewed her bank statements and submitted a loan application to Service Finance listing her income as $7,000.00/month. This amount was more than double what she actually made. She financed $65,000.00 through Service Finance at 5.99%, with 300 payments of $418.40 (total cost $125,520), plus a separate $55,000.00 loan elsewhere. Combined, the loans cost Plaintiff $917.27/month (about a third of her income) for 20+ years. (FAC, ¶¶ 20, 22.)

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The contract called for fourteen (14) solar panels producing enough power to cover 100% of her electricity use. Modernize only installed ten (10). When she asked about her electric bills, Plaintiff was shown an agreement she'd never seen before, dated the same day as the original contract, and calling for only ten (10) panels. This modified agreement included her forged signature. (FAC, ¶¶ 23-25.)

b.

Review of Allegations in Service Finance's cross-complaint.

Service Finance denies wrongdoing in connection with Plaintiff's claims in the FAC. Service Finance pleads that, to the extent it is found liable, all such liability stems from Cross-Defendants' negligence, thus Service Finance is entitled to indemnity. (FACC, ¶¶ 6-7.)

Service Finance pleads that:

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It entered a written SFC Master Dealer Agreement (the "Agreement") with Modernize, under which Modernize agreed to indemnify, defend, and hold Service Finance harmless. On June 18, 2025, Service Finance tendered Plaintiff's claims to Modernize and demanded a defense and indemnification. Modernize has not accepted the tender despite repeated follow-up. Service Finance contends this failure breaches the Agreement and has caused injury. (FACC, ¶¶ 8-13.)

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Plaintiff's claimed injuries and damages were caused in whole or part by the Cross-Defendants' negligent, reckless, or strictly liable conduct. Service Finance asserts that any liability it faces would be purely derivative and passive, arising from an obligation imposed by law rather than its own conduct, and that it has repeatedly demanded indemnification, defense, and reimbursement of attorneys' fees and costs from the Cross-Defendants. (FACC, ¶¶ 14-21.)

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It has fully performed its obligations under the Agreement, while Modernize defaulted by refusing to accept the tender of defense and indemnity as required under paragraph 15 of the Agreement. Modernize has continued to refuse performance despite demand, and that the Agreement entitles Service Finance to recover its attorneys' fees and costs incurred in enforcing it. (FACC, ¶¶ 28-32.)

c.

The pleadings set forth a clear legal basis for Service Finance to proceed with claims for indemnity and contribution against Metyas.

Metyas moves for judgment on the pleadings as to both causes of action alleged against him in the FACC: (1) implied indemnity; and (2) equitable indemnity and contribution.
(Although there are other causes of action alleged in the FACC, those claims are alleged solely against Modernize and not also against Metyas.)

"A defendant sued for breach of contract may have a right of implied indemnity against a third person whose wrong caused the defendant's breach." Considine Co. v. Shadle (1986) 187 Cal.App.3d 760, 769 (Considine). "To state a claim for equitable indemnity, a defendant must allege the same harm for which he may be held liable is properly attributable -- at least in part -- to the cross-defendant." Platt v. Coldwell Banker Residential Real Estate Services (1990) 217 Cal.App.3d 1439, 1445, fn. 7. "Where a money judgment has been rendered jointly against two or more defendants in a tort action there shall be a right of contribution among them as hereinafter provided." Code Civ. Proc., § 875 (a).

Metyas reasons that Service Finance has no claim for indemnity or contribution against Metyas a matter of law because Service Finance's "only potential exposure to Plaintiff arises from contract-based claims, which cannot support equitable indemnity or contribution as a matter of law." (Motion, p. 2:11-12.) Metyas cites case law stating that indemnity is only available among tortfeasors who are jointly and severally liable for the same injury. See Stop Loss Ins. Brokers, Inc. v. Brown & Toland Medical Group (2006) 143 Cal.App.4th 1036, 1040 (Stop Loss).

Metyas argues that because Service Finance's exposure to Plaintiff is purely contractual (i.e., Plaintiff alleges Service Finance breached the financing agreement), while Metyas' exposure is for torts (specifically, fraud and elder abuse), Service Finance and Metyas are not both facing tort liability for the same injury. Thus, Metyas reasons that Service Finance cannot make Metyas share Service Finance's liability as a matter of law.

The FAC ties the validity of the financing agreement to Metyas' and Modernize's alleged misconduct. In other words, if Service Finance faces liability to Plaintiff based on the allegations in the FAC, it is likely because the financing agreement was procured through Metyas' and Modernize's misconduct. Because liability alleged against Service Finance in the FAC arises from the same alleged wrongdoing attributed to Metyas, Service Finance's allegations in the FACC regarding contribution and indemnity are sufficient to support a claim for equitable indemnity. See American Motorcycle Assn. v. Superior Court (1978) 20 Cal.3d 578, 598 (equitable indemnity "permit[s] a concurrent tortfeasor to obtain partial indemnity from other concurrent tortfeasors on a comparative fault basis"), superseded by statute in other part, as stated in Miller v. Stouffer (1992) 9 Cal.App.4th 70, 82.

The Court agrees with Service Finance that Metyas' reliance on cases declining to permit indemnity where a party seeks to shift wholly independent contractual losses is misplaced. See, e.g., Stop Loss, supra, 143 Cal.App.4th at pp. 1040-1041. These authorities are distinguishable from this case because they concern situations where the claimed loss arises from obligations independent of any shared wrongdoing. Here, by contrast, the FAC

alleges that the financing agreement was procured through the same alleged misconduct attributable to Metyas.
Service Finance's potential liability is thus not independent of Metyas' alleged tort liability.

In sum, Plaintiff alleges in the FAC that Service Finance is liable for breach of contract based on an agreement procured through Metyas' and Modernize's fraud.
Service Finance alleges in the FACC that Metyas is liable for any judgment Plaintiff obtains against Service Finance under theories of implied indemnity, equitable indemnity, and contribution. Taken together, the pleadings set forth a clear legal basis for Service Finance to proceed with its claims against Metyas in the FACC.

Metyas asserts in his reply brief that Service Finance's argument still fails because "[e]quitable indemnity requires … joint tort liability for the same injury," and the pleadings allege no such joint tort liability. (Reply, p. 2:7-8.) Where, as here, the underlying contractual liability is derivative of a third party's wrongdoing, it is both equitable and legally sound to allow the contracting party to seek indemnity and contribution against the third party for any resulting judgment. See Considine, supra, 187 Cal.App.3d at p. 769 ("defendant sued for breach of contract may have a right of implied indemnity against a third person whose wrong caused the defendant's breach").

The motion is denied.

Because the Court has determined that the motion shall be denied, the Court need not evaluate the parties' other arguments regarding Plaintiff's unfair competition claim and boilerplate allegations related to agency and ratification.

IV.
CONCLUSION

Cross-Defendant Mena Adel Metyas' motion for judgment on the pleadings as to the First Amended Cross-Complaint filed by Cross-Complainant Service Finance Company, LLC is DENIED.

Cross-Complainant Service Finance Company, LLC

is ORDERED to give notice.

DATED: July 20, 2026

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Judge of the

Superior Court